



companies in terms of annual sales turnover has been kept twice that at ₹40 million for drones and ₹10 million for drone components.

"We are all starting at the same point and should look towards collaborating and complementing each other. The big companies, small and medium sized enterprises (SMEs), and the startups need to come together and work towards making India the global hub of drones manufacturing," says Lt Col. Ravi Bandreddi (Retd), Senior General Manager, Homeland Security, Dynamic Technologies Ltd.

What's special

The PLI for drones stands out on a lot of fronts, when compared to PLIs for various other sectors. Like other PLI schemes, the government, via this, is aiming to give incentives to drone and its component manufacturers based on the incremental production achieved by the latter. It stands out from other PLIs in the form that there is no threshold year set by the government to calculate incremental production. Instead, there is a threshold mentioned by the government, and anyone who crosses that threshold can apply for availing benefits.

The method of computing incentives around the PLI is also unique when compared to other sectors. It is based around the amount of local value addition in drones and drone components. In nutshell, the government is aiming to provide 20% of the total local value addition (capped amount) back to the manufacturer. This clause stands true for drones and drone components.

"It is my strong belief that this PLI scheme will drive a lot of companies to look towards manufacturing drones in the years to come," says Sampathkumaran.

What makes the PLI for drones extraordinarily special is the way it has been crafted. Though the amount involved in the PLI is

Drones Sector: Why it is India's shining lighthouse

"We have estimated the total manufacturing potential to be more than ₹180,000 crore for drones in India by 2030. This is not just an opportunity for the larger companies but also for the hundreds of startups which are operating in this space," says **Rajan Luthra, Head-Special Projects, Reliance Industries Ltd**, during the Drone World Event organised by Electronics For You and FICCI.



"The only way for India to get a large part of value from the drones sector is by staying ahead in terms of innovation, which resonates with the term startups. The drone industry will benefit a lot from the contributions of the startup industry," says **Ankit Mehta, co-founder & CEO, ideaForge**.

"Drones are one opportunity that is equally available to larger companies as well as startups. It is how fast one can run and compete in the race. The drones' race is open for all," says **Sanjeev Sehgal, Founder & MD, Sparsh Securitech**.



"Size does not matter in the drone vertical. The industry as a whole is at a very nascent stage. Everyone is going through learning, that is, the startup phase and the field is open for everybody to come and play," adds **Sampathkumaran S.T., Vice President-Defence & Aerospace, Adani Group**.

"We are all starting at the same point and should look towards collaborating and complementing each other. The big companies, SMEs and the startups need to come together and work towards making India the global hub for drones manufacturing," says **Lt Col. Ravi Bandreddi (Retd) Senior General Manager-Homeland Security, Dynamic Technologies Ltd**.



"PLI Scheme also covers software development for drones as a big opportunity, which I think the startups can gain a lot from," opines **Neel Mehta, Director & Cofounder, Asteria Aerospace Pvt Ltd**.

about ₹1.2 billion for three years, it restricts a handful of companies to qualify for the incentives. Two or three big companies, as per Sampathkumaran, coming and taking away all the benefits is not at all possible, and there's enough room for SMEs, MSMEs, and startups to participate in the scheme.

Speaking of equal opportunity for all the players, the PLI for drones has also taken into account IT developers of drone-related IT products. As a matter of fact, the scheme also covers software development for drones, which is probably the first PLI that takes both IT developers as well as software for drones into consideration. As they both are more or less connected to the way drones are deployed, the highlight here is the drone services market size. As per

a report by Markets & Markets, it is expected to reach \$40.7 billion by 2026 from \$13.9 billion in 2021, and the Asia Pacific market is forecast to register the highest CAGR in terms of growth during the forecast period.

On the same page

Yes, the biggest opportunity is in manufacturing drones and their related components, but an equal (maybe bigger) opportunity for startups, SMEs, and MSMEs lies in being successfully able to collaborate with bigger organisations. It is clear that the likes of Adani and Reliance are serious about the drone vertical. The proof of the pudding also lies in announcements made over the last few months.

DCM Shriram Industries, during August 2021, announced that it had